Investment Banking

Experiential Learning Assignment

Component A: IPO Evaluation

IPO Selected: HDB Financial Services Limited

Submitted by:

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Section 1: Company and Offer Overview

1.1 Core Business Model and Industry

HDB Financial Services is a non-banking financial company (NBFC), the seventh largest retail-focused NBFC in India by Total Gross Loan book (₹902.2 billion as at March 31, 2024), per the CRISIL Report cited in the RHP. The RBI categorizes it as an Upper Layer NBFC (NBFC-UL). This is a bracket reserved for systemically significant NBFCs subject to enhanced regulatory oversight.

Vertical	Amount (₹ billion)	% of Total Gross Loans	Key Products
Enterprise Lending	420.1	39.30%	Loans Against Property, Business Loans, Salaried Personal Loans
Asset Finance	406.5	38.03%	Commercial Vehicle Loans, Construction Equipment Loans, Tractor Loans
Consumer Finance	242.2	22.66%	Auto Loans, Relationship Personal Loans, Consumer Durable/Digital/Lifestyle Product Loans

Beyond lending, the company earns fee income from back-office and collection/sales support (BPO) services provided to its promoter, HDFC Bank, and from distribution of insurance products (it holds an IRDAI corporate agent registration), positioning it as a diversified, retail-heavy NBFC rather than a pure-play lender.

1.2 Listing Decision – Four Dimensions Framework

- **The Strategic Dimension:** Does going public serve the company's long-term strategic objectives?
  Yes, but the strategic case here is largely regulatory in origin rather than opportunistic. RBI's Scale Based Regulations classify HDB Financial Services as an NBFC-Upper Layer (NBFC-UL), and NBFC-ULs are mandatorily required to list within three years of identification. This makes listing a strategic necessity, not a discretionary choice. Layered on top, the RHP cites secondary strategic benefits: "enhancement of the brand name and creation of a public market for the Equity Shares": governance discipline and visibility gains typical of a listing, but clearly not the primary driver.

- **The Financial Dimension**: Does the company have a genuine financing need that only the public market can fulfil?
  Partially. The Fresh Issue (₹25,000 million, ~20% of the total offer) is earmarked to augment the company's Tier-I capital base, supporting onward lending across its three verticals and maintaining RBI-prescribed capital adequacy: a genuine growth-capital need. However, the much larger component: the Offer for Sale (₹100,000 million, ~80% of the total offer): channels zero proceeds to the company; it is purely HDFC Bank monetizing its stake.

- **The Investment Banking Dimension**: Is the company ready for IB scrutiny: pricing, market conditions, prospectus, and post-IPO capital structure?
  Yes. HDB Financial Services engaged an unusually large syndicate of 12 BRLMs (JM Financial, BNP Paribas, BofA Securities, Goldman Sachs, HSBC, IIFL Capital, Jefferies, Morgan Stanley, Motilal Oswal, Nomura, Nuvama, and UBS) to manage pricing, due diligence, and book-building: signalling a complex, high-scrutiny mandate befitting a ₹12,500 crore issue. The price band (₹700–₹740) and post-Offer capital structure were finalized through this process: HDFC Bank's holding dilutes from 94.04% pre-Offer to 73.98% post-Offer, a meaningful ~20 percentage point dilution but one that preserves clear majority promoter control: a structure the IB syndicate evidently assessed as market-credible, reflected in the eventual 55.47x QIB subscription.

- **The Listing Decision:** Having assessed all three dimensions, should the company list now, later, or not at all?
  The verdict is list now, and all three prior dimensions point the same way here rather than against each other: the Strategic Dimension makes listing a compliance necessity (not optional), the Financial Dimension shows a real (if partial) capital need, and the Investment Banking Dimension confirms market readiness and syndicate confidence. The only dimension that pulls in a different direction is the scale of the OFS relative to the Fresh Issue: the offer is structured more around promoter monetization than company financing, but this doesn't override the regulatory compulsion to list.

1.3 Issue Structure

Parameter	Detail
Total Issue Size	Up to ₹125,000.0 million
Fresh Issue	Up to ₹25,000.0 million (by the Company)
Offer for Sale	Up to ₹100,000.0 million (by HDFC Bank Limited, Promoter Selling Shareholder)
OFS as % of Total Offer	~80.00%
Face Value	₹10 per Equity Share
Price Band	₹700 (Floor Price) to ₹740 (Cap Price) per Equity Share (finalized in the Prospectus)
Final Offer Price	₹740 per Equity Share
Minimum Bid Lot	20 Equity Shares, and in multiples of 20 thereafter (finalized in the Prospectus)
Proposed Listing	BSE and NSE (NSE is the Designated Stock Exchange)
Final Offer Size	168,918,917 Equity Shares (Fresh Issue: 33,783,782 shares / ₹25,000.0 million; OFS: 135,135,135 shares / ₹100,000.0 million)
Anchor Investor Bidding Date	Tuesday, June 24, 2025

1.4 Book Running Lead Managers

The BRLMs are as follows:

1. JM Financial Limited
2. BNP Paribas
3. BofA Securities India Limited
4. Goldman Sachs (India) Securities Private Limited
5. HSBC Securities and Capital Markets (India) Private Limited
6. IIFL Capital Services Limited (formerly IIFL Securities Limited)
7. Jefferies India Private Limited
8. Morgan Stanley India Company Private Limited
9. Motilal Oswal Investment Advisors Limited
10. Nomura Financial Advisory and Securities (India) Private Limited
11. Nuvama Wealth Management Limited
12. UBS Securities India Private Limited

Section 2: RHP Analysis - Strengths and Risk Factors

2.1 Franchise strengths (RHP “Our Strengths”, p. 248; qualitative factors, p. 150)

- **Parentage and liability franchise - the core moat:** HDFC Bank promoter ship underpins HDB's highest-tier credit rating - CRISIL AAA/Stable and CARE AAA/Stable, the highest long-term ratings in India (RHP, p. ~ / rating disclosure) - which in turn delivers a diversified, low-cost borrowing base and household-brand trust. This is a durable funding advantage, not a soft qualitative claim: it is the reason HDB can run a granular, semi-urban and rural retail book at a competitive cost of funds.
- **Diversified scale:** The seventh-largest retail-focused NBFC in India by gross loan book (ranked on a ₹902.2 bn book as at 31 March 2024 per CRISIL; ₹1,068.8 bn by FY25), spread across three verticals with none above ~40% - Enterprise Lending 39.3%, Asset Finance 38.0%, Consumer Finance 22.7%. Low single-name and single-product concentration is a genuine structural strength through the cycle.
- **Capitalisation and originations engine:** CRAR of 19.22% (Tier-I 14.67%) as at 31 March 2025 - comfortably above the 15% regulatory floor for an NBFC-UL - funding a pan-India, technology-led, direct-origination and in-house-collections model that supports higher net yields (RHP CRAR table, p. ~152).

2.2 The risk factors that actually move the thesis

Across the RHP's extensive risk-factor section (70-plus disclosures, beginning p. 29), four are first-order for an equity investor and are analysed below with their specific citations.

- **Risk 1: Forced promoter dilution / structural overhang (Risk Factor 1, p. 30):**
  The company discloses that, under the RBI's proposed rules, its promoter may be required to cut its holding below 20%, and that failure to comply within the prescribed window could trigger operating restrictions - for instance, a product being curtailed at either HDB or the promoter. In deal terms this makes HDFC Bank (currently ~94% pre-issue) a structurally motivated seller and seeds a multi-year supply overhang above the IPO float - the first-order reason the issue is 80% Offer for Sale and a persistent drag on aftermarket price discovery.
- **Risk 2: Asset-quality slippage and credit-cost normalisation (Risk Factor 2, p. 31):**
  The RHP itself flags that Gross Stage 3 (GNPA) rose to 2.26% of Total Gross Loans as at 31 March 2025 from 1.90% a year earlier, and - the number that matters most - that impairment on financial instruments increased 97.96% to ₹21,130.5 mn in FY25 from ₹10,673.9 mn in FY24 (p. 31). Provision Coverage simultaneously fell to 55.95% from 66.82%, i.e., a rising NPA stock carried against thinner coverage. This is the disclosure that explains the FY25 earnings contraction in 2.3 and, as 2.4 shows, the risk the market went on to price.
- **Risk 3: Offer structure: 80% of proceeds bypass the balance sheet (Risk Factor 8):**
  ₹10,000 cr of the ₹12,500 cr raise is promoter monetisation via the OFS; only the ₹2,500 cr fresh issue reaches HDB, ring-fenced to augment Tier-I capital for onward lending (Objects, p. 144). For a capital-consuming, fast-growing lender, a predominantly secondary sale skews the investor narrative toward “exit” rather than “growth capital.”
- **Risk 4: Unsecured tail, rate and wholesale-funding sensitivity (Risk Factors 3, 12, 13):**
  Unsecured loans were 26.99% of the book as at 31 March 2025 (down modestly from 28.66%, a mild de-risking but still a material cyclical-loss tail). The company funds itself substantially through wholesale borrowings (total borrowings ₹873,977.7 mn, FY25) and is exposed to rate volatility - evident in NIM compression from 8.25% (FY23) to 7.85% (FY24) to 7.56% (FY25). In a rising-loss environment the unsecured book is where credit costs surface first.

2.3 The disclosure that anchors the valuation: profit falling on a growing book

Taken directly from the Restated Consolidated Financial Information (Summary, p. 19), FY25 is an uncommon pairing of top-line growth with bottom-line contraction, and we find:

The mechanics are unambiguous. Income grew ~15%, but a near-doubling of credit cost (+97.96%) drove PAT **down 11.6%** YoY and compressed RoE ~480 bps, from 19.55% to 14.72%. HDB was therefore taken to market on a **trough-earnings year** - the pivot on which the Section 6 pricing critique turns.

2.4 Did the disclosed risk crystallise? (RHP forecast vs. realised outcome)

Risk Factor 2 was vindicated almost immediately. In Q2 FY26 (quarter ended 30 September 2025), GNPA rose further to 2.81%, loan-loss provisions jumped ~74% YoY to ₹748 cr, and PAT slipped ~1.6% YoY to ₹581 cr despite ~20% NII growth - and the stock traded below its ₹740 issue price around the print [post-listing market data; exchange filings]. The analytical read-through is that the RHP told investors precisely where the pressure would originate, and the market subsequently repriced the equity toward that risk. Primary-document risk factors, in short, functioned here as leading indicators, not boilerplate - the core reason Section 2 relies on the RHP directly rather than any secondary summary.

Section 3: Pricing Analysis

The whole calculation is shown in appendix or exhibits attached as a google sheet link.

- **Step 1: Calculate the weighted average EPS**

Fiscal Year	Basic EPS (₹)	Weight	Weighted EPS (₹)
FY2025	27.4	3	27.4 × 3 = 82.2
FY2024	31.1	2	31.1 × 2 = 62.2
FY2023	24.8	1	24.8 × 1 = 24.8
Total	—	6	169.2
Weighted Average EPS	—	—	169.2 ÷ 6 = **₹28.20**

  - This exactly matches the weighted average basic EPS of ₹28.2 disclosed in the RHP.
  - The same calculation using diluted EPS gives approximately ₹28.1.

- **Step 2: Identify the industry P/E range**
  - The RHP identifies the following companies as peers for HDB Financial Services: Aditya Birla Finance, Bajaj Finance, Cholamandalam Investment and Finance, L&T Finance, Mahindra & Mahindra Finance, Shriram Finance, Sundaram Finance and Tata Capital.
  - The relevant peer P/E ratios disclosed in the RHP range from 13.8x to 35.3x.
  - The arithmetic average of the disclosed peer P/Es is approximately **24.2x.**

- **Step 3: Calculate the value using the industry-average P/E**
  - We now use the weighted average EPS calculated in Step 1, which is ₹28.20.
  - The industry-average P/E is approximately 24.2x.
  - Estimated value using the industry-average P/E = ₹28.20 × 24.2.
  - This gives an estimated value of approximately ₹682.44 per share.

- **Step 4: Compare the benchmark value with the actual issue price**
  - The actual IPO price was ₹740 per share, at the upper end of the ₹700–₹740 price band.
  - Our industry-average P/E valuation gives a benchmark value of approximately ₹682.44.
  - The actual issue price of ₹740 is therefore approximately ₹57.56 higher than the industry-average benchmark. The ₹740 issue price represents an approximately **8.4% premium** to the ₹682.44 benchmark value.

- **Note: Price Band Compliance:** The IPO price band was fixed at ₹700–₹740 per share. Under the applicable SEBI framework, the cap price cannot be more than 120% of the floor price. For HDB Financial Services, the maximum permissible cap based on the ₹700 floor would therefore be ₹840. The actual cap of ₹740 represents only a 5.71% premium over the floor price and is therefore well within the permitted 20% band. Equivalently, the floor price of ₹700 is 94.59% of the cap price of ₹740, comfortably above the 83.33% minimum implied by the 20% limit.

- **Step 5: Implied P/E and RHP cross-check**
  - At the ₹740 issue price, the implied P/E using our three-year weighted average EPS of ₹28.20 is ₹740 ÷ ₹28.20 = approximately 26.2x.
  - This is above the industry-average P/E of 24.2x, implying an approximately 8.4% premium, but remains within the industry range of 13.8x–35.3x. Hence, the issue was moderately premium-priced, not at an extreme multiple.
  - However, the RHP uses FY2025 EPS, not the three-year weighted average EPS, for its own P/E calculation. At ₹740, it reports approximately 27.0x on basic EPS and 27.1x on diluted EPS.
  - Thus, the RHP's own calculation also shows HDB being valued above the 24.2x industry average, at an approximately 12% premium.

- The difference between our 8.4% premium and the RHP's approximately 12% premium is solely because our calculation uses three-year weighted average EPS, while the RHP uses FY2025 EPS.

- **Step 6: Assessment & RHP Justification**
  - The RHP states that the Price Band and Offer Price were determined in consultation with the Book Running Lead Managers. It says that the pricing was based on assessment of market demand through the book-building process as well as quantitative and qualitative factors.
  - The RHP highlights HDB's highly granular retail loan book and its focus on underbanked customer segments.
  - It highlights the company's large and diversified product portfolio and its track record of growth and profitability.
  - It points to HDB's pan-India distribution network and digitally enabled sourcing.
  - It highlights its credit underwriting and collection systems.
  - It also points to its technology capabilities and the resulting customer and operating efficiencies.
  - Another justification is its high-quality liability franchise, diversified borrowing sources and high credit rating. The RHP also highlights the company's track record of robust and profitable financial performance.
  - It also cites experienced management and workforce.
  - Finally, the RHP highlights the parentage of HDFC Bank and the associated trust and brand equity.
  - On this basis, the issue price appears broadly fair but moderately premium-priced rather than attractively priced.
  - The RHP justifies this premium through HDB's business quality, diversified lending franchise, distribution capabilities, technology, financial performance, funding profile, management and HDFC Bank parentage, in addition to market-demand assessment through book building, which justifies its premium.

Section 4: Subscription Analysis

Investor Category	Subscription (x)
Qualified Institutional Buyers (QIBs)	55.47x
Non-Institutional Investors (NIIs)	9.98x
Retail Individual Investors (RIIs)	1.41x
HDFC Bank Shareholders (Reservation Portion)	4.25x
Employees (Reservation Portion)	5.71x
Overall	**16.69x**

Reading the pattern:

- **QIB demand dominated the book at 55.47x**, by far the strongest category - consistent with institutional confidence in a large, RBI-mandated NBFC-UL listing backed by HDFC Bank's brand and majority ownership.
- **NII (HNI) subscription at 9.98x** was healthy but a fraction of the QIB pull, typical for a large-issue-size IPO (₹12,500 crore) where high absolute ticket sizes cap how many HNI bidders can meaningfully participate relative to smaller issues.
- **Retail subscription of 1.41x was comparatively muted** - just above full subscription. For an issue this size and profile, tepid retail enthusiasm relative to QIB frenzy is a recognizable pattern: retail investors are typically more price- and float-size-sensitive, and a ₹12,500 crore offer (~80% of it an OFS, meaning no fresh capital narrative for most of the raise) may have limited the retail "growth story" pitch.
- **The HDFC Bank Shareholder Reservation Portion (4.25x)** reflects existing HDFC Bank shareholders exercising their preferential allotment window - moderate demand, not a rush.
- **Employee Reservation (5.71x)** shows solid internal confidence, higher than both NII and Retail.
- **Overall subscription of 16.69x was QIB-led**, not broad-based - a pattern worth flagging analytically: heavy institutional oversubscription alongside comparatively thin retail demand often signals the issue was priced to work well for large, informed investors rather than for retail price discovery, which ties back into the Offer for Sale-heavy structure (~80% OFS) discussed in Section 1 - the bulk of the raise was promoter monetization rather

than growth capital, which institutional investors may have been more comfortable underwriting than retail bidders.

Section 5: Listing Performance and Post-Listing Review

Day 1 Listing performance and Money Left on the Table

- HDB Financial Services was issued at ₹740 per share and listed at ₹840.25, resulting in **a listing premium or pop of ₹100.25 per share, or 13.55%.**
- Therefore, investors who received shares in the IPO earned an immediate gain, suggesting that some value was left on the table and the issue price did not fully capture investor sentiment.
- The IPO comprised 3,37,83,782 fresh issue shares and 13,51,35,135 OFS shares, giving a total IPO size of 16,89,18,917 shares.
- Applying the ₹100.25 listing premium to the fresh issue gives ₹338.68 crore of value left on the table.
- For the OFS portion, the corresponding amount is ₹1,354.73 crore.
- **Therefore, the total money left on the table across the entire IPO is ₹1,693.41 crore.**
- This represents 13.55% of the total issue value at the ₹740 offer price.
- The ₹1,354.73 crore relating to the OFS represents the potential value foregone by the selling shareholder, HDFC Bank, while ₹338.68 crore relates to the fresh issue.

Three-month and six-month post-listing performance

- The stock closed at ₹757.10 **after three months**, compared with the listing price of ₹840.25, resulting in a continuously compounded return of -10.42%.
- **After six months**, the stock closed at ₹770.15, resulting in a **continuously compounded return of -8.71%** from the listing price.
- Thus, despite the strong 13.55% listing gain, the stock subsequently declined from its listing level, indicating that the strong initial investor sentiment was not sustained during the post-listing period.
- **The 13.55% listing premium indicates that the market initially viewed the company positively. However, the negative returns of -10.42% over three months and -8.71% over six months indicate that this initial optimism moderated after listing.**

30-day anchor lock-in expiry

- The first anchor investor lock-in expired on 28 July 2025 (Day 0). The stock closed at ₹750.60, after declining from ₹784.20 on Day -2 to ₹760.75 on Day -1.
- Trading volume on Day 0 was 24,01,070 shares, compared with 32,14,030 on Day -1 and 19,00,860 on Day -2. Volume fell to 16,90,328 on Day +1 but increased sharply to 66,23,128 on Day +2.
- **The Day 0 abnormal return was -1.87%. The ±1-day CAR was -5.83% with a t-statistic of -2.23, statistically significant at the 5% level. However, the ±3-day, ±5-day and ±10-day CARs were not statistically significant.**
- The combination of a negative immediate market reaction and higher trading activity shortly after expiry suggests short-term selling pressure around the event. However, the recovery in abnormal return to 3.29% on Day +2 indicates that the pressure was not persistent.
- Overall, the 30-day expiry indicates short-term negative pressure but does not provide conclusive evidence of reduced institutional conviction.

90-day anchor lock-in expiry

- The second anchor investor lock-in expired on 26 September 2025 (Day 0). The stock closed at ₹755.85, compared with ₹767.10 on Day -1 and ₹772.90 on Day -2.

- Trading volume on Day 0 was 5,93,459 shares, compared with 3,38,321 on Day -1 and 5,07,487 on Day -2. Volume increased sharply to 24,26,543 shares on Day +1 and remained elevated at 18,62,031 on Day +2.
- The Day 0 abnormal return was -0.98%. The CARs across the ±1, ±3, ±5 and ±10-day windows were -1.36%, 0.75%, -3.33% and -4.02%, respectively, with t-statistics of -0.65, 0.23, -0.83 and -0.72. **None were statistically significant at the 5% level.**
- The sharp increase in trading volume after the expiry indicates heightened market activity, but the absence of statistically significant abnormal returns suggests that the expiry did not create a meaningful negative price impact.
- Therefore, the 90-day expiry provides weaker evidence of negative market pressure than the 30-day expiry. The available data does not establish significant institutional selling or a loss of anchor investor conviction.
- **The absence of statistical significance across all four event windows indicates that the 90-day lock-in expiry did not generate a meaningful abnormal market reaction.**

Influence of Grey Market Premium

- GMP remained positive throughout the observed period, ranging from **₹46 to ₹93**, indicating positive market expectations for HDB Financial's listing.
- GMP was volatile, moving from **₹93 to ₹46 and then recovering to ₹71**, showing that investor expectations changed significantly during the IPO period.
- The final GMP of **₹71** implied a listing price of **₹811** against the issue price of ₹740, suggesting an expected listing gain of **9.59%**.
- HDB Financial actually listed at **₹840.25**, significantly above the GMP-implied price of ₹811.
- The actual listing gain was **13.55%**, compared with the **9.59%** gain implied by the final GMP.
- Therefore, GMP **underestimated the actual listing premium by approximately 3.95 percentage points**.
- The lowest GMP of **₹46** implied a listing price of only ₹786, but the actual listing was much higher, showing that short-term GMP movements did not perfectly predict the final price discovery.
- Overall, GMP was **directionally useful** because it correctly indicated a positive listing, but it was **not an accurate predictor of the magnitude of the listing gain**

Section 6: Investment Banking Critique

6.1 Primary recommendation - anchor the price at the floor, not the cap

The book should have been priced at or near the ₹700 floor (~25.5× FY25 EPS) rather than the ₹740 cap (~27.1×). The case is evidence-led, not stylistic:

- **The multiple was set on trough earnings:**
  FY25 PAT had fallen 11.6% and RoE had compressed to 14.7% - below every premium comparable the deal was benchmarked against (Bajaj Finance ~19%, Cholamandalam ~20%, Shriram ~18%, Sundaram ~15%), ahead of only the two weakest peers (L&T ~11%, M&M ~11%) - because credit cost had nearly doubled (Section 2.3). Placing an average-to-premium P/E on a declining, still-normalising earnings base left no valuation cushion for the credit-cost normalisation the RHP itself disclosed as ongoing.
- **The book told the syndicate that retail would not follow:**
  Retail was covered only ~1.4× and the issue was ~69% subscribed as late as Day 2, clearing only on a final-day QIB surge. A ₹40 (5.4%) step to the floor would have deepened retail and NII coverage and broadened the aftermarket holder base - the float that stabilises a stock post-listing.
- **The aftermarket proved the point:**
  A ~13% debut premium that fully reversed within three months, followed by a slide below issue to a low of ₹705, is the classic signature of an issue priced to the last rupee. Floor pricing would more plausibly have produced a durable premium and spared first-day retail allottees from being underwater within a quarter.

6.2 Reinforcing observations

- **Rebalance the primary/secondary mix:**
  At 80% OFS the structure reads as promoter monetisation. A larger fresh-issue component would have signalled growth-capital intent, diluted the "forced-seller" narrative created by Risk Factor 1, and strengthened Tier-I ahead of a visibly rising-loss cycle.
- **Invest in the retail narrative - and consider a retail incentive:**
  For a household HDFC-branded name with a dividend track record, ~1.4× retail is an underwhelming outcome that points to distribution over-indexed on institutions (>80% of final demand). A sharper retail story, or a modest in-band retail discount, would have improved float quality and price stability.
- **Pre-empt the credit-cost question with explicit forward guidance:**
  The single biggest post-listing surprise - provisions up ~74% YoY by Q2 - was foreseeable from the RHP. Clearer IPO-stage guidance on the credit-cost trajectory and steady-state (management has since indicated ~2.3%) would have narrowed the information gap the market closed abruptly, and around which the 90-day anchor lock-in expiry (from the ₹3,369 cr anchor book) coincided.

A note on syndicate architecture. Twelve BRLMs is a very broad book for a single domestic issue. It maximises distribution reach and underwriting comfort for a forced-seller mega-IPO, but such breadth also diffuses accountability for aftermarket support; a tighter core syndicate with clearer stabilisation ownership merits weighing against the marginal distribution benefit.

Bottom line: HDB is a high-quality franchise that was competently distributed but aggressively priced into a softening earnings year. The single change with the highest expected value was floor-anchored pricing: it concedes a few percent on a ₹10,000 cr OFS but protects a residual stake roughly one hundred times larger by seeding a positive-momentum debut - rather than a compliance-driven one that traded below its issue price inside a quarter.

Exhibits & References

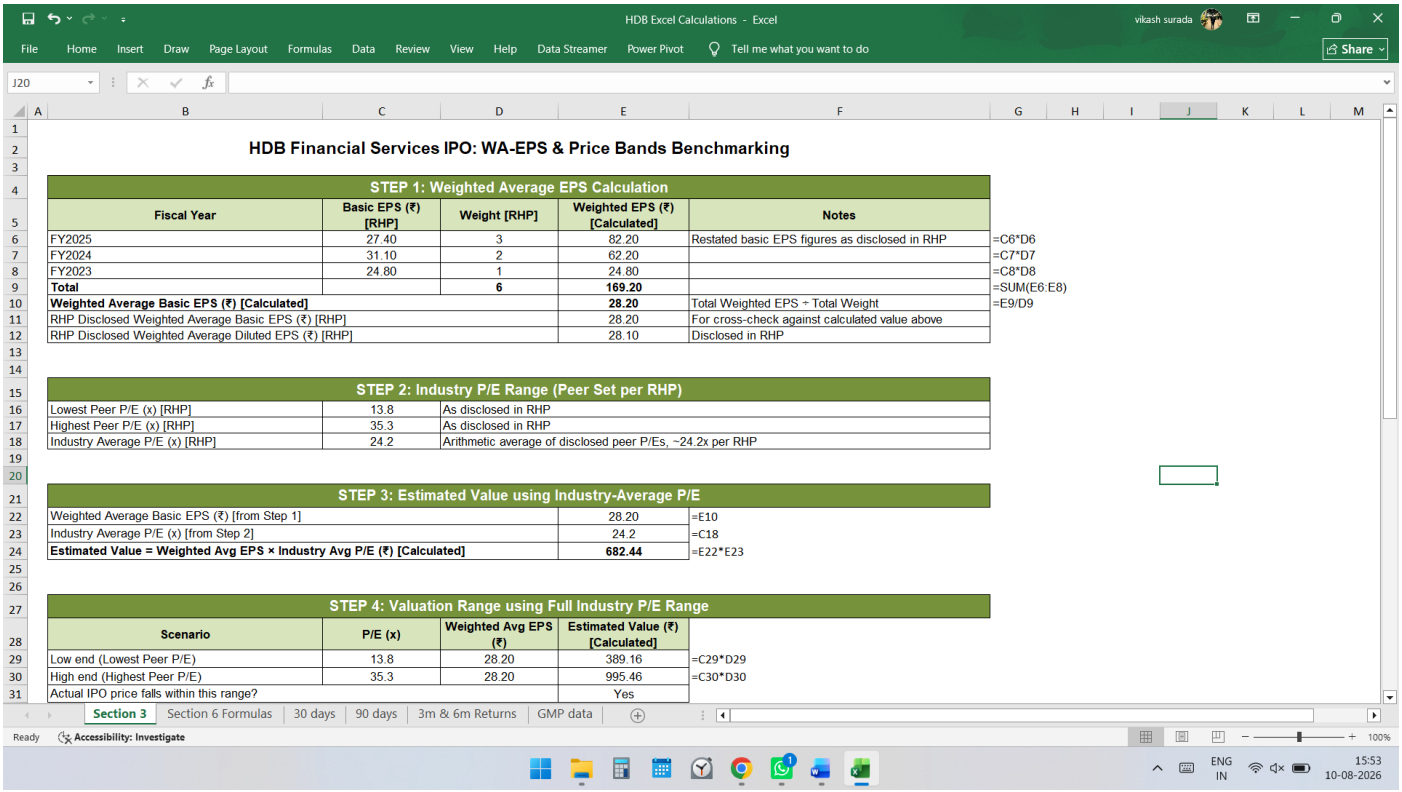
Google Sheet Link for our calculations:
https://docs.google.com/spreadsheets/d/1p4_sp0JgB_7LwLbha3kYZxrYu9Sj9VeeSvzQoGQt4Ds/edit?usp=sharing

Websites referred to:

- Yahoo finance: for historic stock data
  https://finance.yahoo.com/quote/HDBFS.NS/history/
- IPOwatch: for GMP data
  https://ipowatch.in/hdb-financial-ipo-gmp-grey-market-premium/

Few screenshots

1. Section 3: Price bands and PE Calculation



HDB Excel Calculations - Excel

HDB Financial Services IPO: WA-EPS & Price Bands Benchmarking

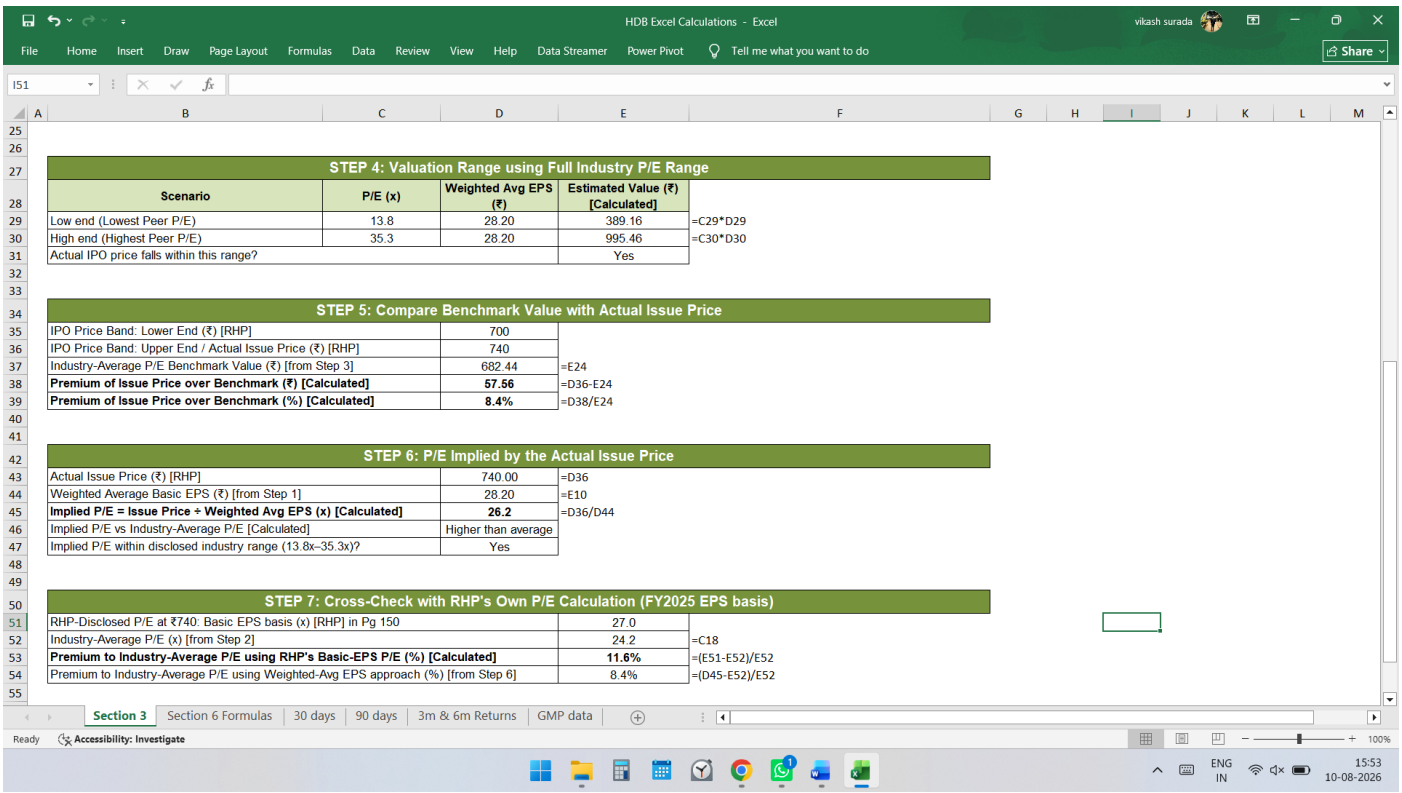
STEP 1: Weighted Average EPS Calculation					
Fiscal Year	Basic EPS (₹) [RHP]	Weight [RHP]	Weighted EPS (₹) [Calculated]	Notes	
FY2025	27.40	3	82.20	Restated basic EPS figures as disclosed in RHP	=C6*D6
FY2024	31.10	2	62.20		=C7*D7
FY2023	24.80	1	24.80		=C8*D8
Total		**6**	**169.20**		=SUM(E6:E8)
Weighted Average Basic EPS (₹) [Calculated]			**28.20**	Total Weighted EPS ÷ Total Weight	=E9/D9
RHP Disclosed Weighted Average Basic EPS (₹) [RHP]			28.20	For cross-check against calculated value above	
RHP Disclosed Weighted Average Diluted EPS (₹) [RHP]			28.10	Disclosed in RHP	

STEP 2: Industry P/E Range (Peer Set per RHP)		
Lowest Peer P/E (x) [RHP]	13.8	As disclosed in RHP
Highest Peer P/E (x) [RHP]	35.3	As disclosed in RHP
Industry Average P/E (x) [RHP]	24.2	Arithmetic average of disclosed peer P/Es, ~24.2x per RHP

STEP 3: Estimated Value using Industry-Average P/E		
Weighted Average Basic EPS (₹) [from Step 1]	28.20	=E10
Industry Average P/E (x) [from Step 2]	24.2	=C18
Estimated Value = Weighted Avg EPS × Industry Avg P/E (₹) [Calculated]	**682.44**	=E22*E23

STEP 4: Valuation Range using Full Industry P/E Range				
Scenario	P/E (x)	Weighted Avg EPS (₹)	Estimated Value (₹) [Calculated]	
Low end (Lowest Peer P/E)	13.8	28.20	389.16	=C29*D29
High end (Highest Peer P/E)	35.3	28.20	995.46	=C30*D30
Actual IPO price falls within this range?			Yes	

Section 3 | Section 6 Formulas | 30 days | 90 days | 3m & 6m Returns | GMP data



HDB Excel Calculations - Excel

STEP 4: Valuation Range using Full Industry P/E Range				
Scenario	P/E (x)	Weighted Avg EPS (₹)	Estimated Value (₹) [Calculated]	
Low end (Lowest Peer P/E)	13.8	28.20	389.16	=C29*D29
High end (Highest Peer P/E)	35.3	28.20	995.46	=C30*D30
Actual IPO price falls within this range?			Yes	

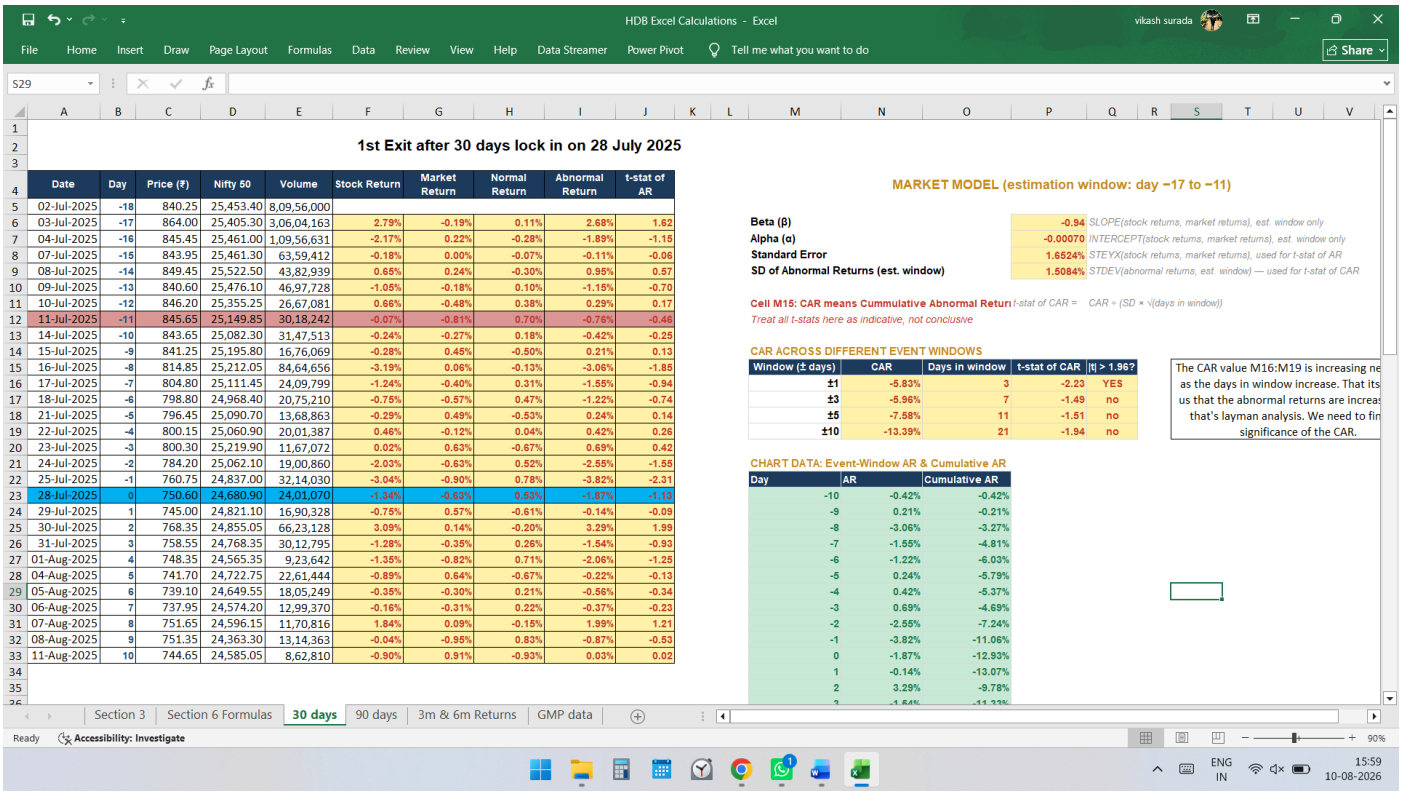
STEP 5: Compare Benchmark Value with Actual Issue Price		
IPO Price Band: Lower End (₹) [RHP]	700	
IPO Price Band: Upper End / Actual Issue Price (₹) [RHP]	740	
Industry-Average P/E Benchmark Value (₹) [from Step 3]	682.44	=E24
Premium of Issue Price over Benchmark (₹) [Calculated]	**57.56**	=D36-E24
Premium of Issue Price over Benchmark (%) [Calculated]	**8.4%**	=D38/E24

STEP 6: P/E Implied by the Actual Issue Price		
Actual Issue Price (₹) [RHP]	740.00	=D36
Weighted Average Basic EPS (₹) [from Step 1]	28.20	=E10
Implied P/E = Issue Price ÷ Weighted Avg EPS (x) [Calculated]	**26.2**	=D36/D44
Implied P/E vs Industry-Average P/E [Calculated]	Higher than average	
Implied P/E within disclosed industry range (13.8x–35.3x)?	Yes	

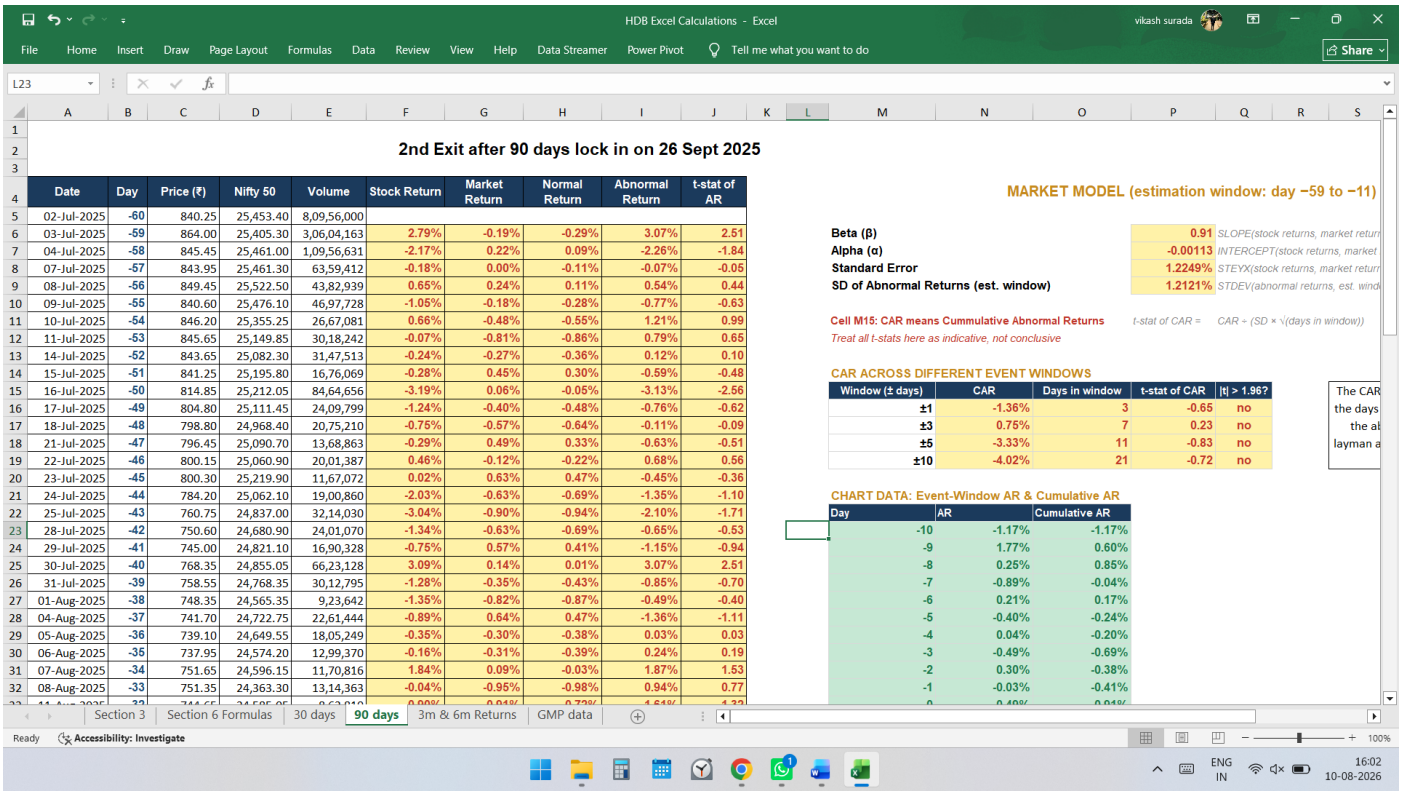
STEP 7: Cross-Check with RHP's Own P/E Calculation (FY2025 EPS basis)		
RHP-Disclosed P/E at ₹740: Basic EPS basis (x) [RHP] in Pg 150	27.0	
Industry-Average P/E (x) [from Step 2]	24.2	=C18
Premium to Industry-Average P/E using RHP's Basic-EPS P/E (%) [Calculated]	**11.6%**	=(E51-E52)/E52
Premium to Industry-Average P/E using Weighted-Avg EPS approach (%) [from Step 6]	8.4%	=(D45-E52)/E52

Section 3 | Section 6 Formulas | 30 days | 90 days | 3m & 6m Returns | GMP data

2. First anchor exit after 30 days on 28 July 2025



3. Second anchor exit after 90 days on 26 September 2025



2nd Exit after 90 days lock in on 26 Sept 2025

Date	Day	Price (₹)	Nifty 50	Volume	Stock Return	Market Return	Normal Return	Abnormal Return	t-stat of AR
02-Jul-2025	-60	840.25	25,453.40	8,09,56,000					
03-Jul-2025	-59	864.00	25,405.30	3,06,04,163	2.79%	-0.19%	-0.29%	3.07%	2.51
04-Jul-2025	-58	845.45	25,461.00	1,09,56,631	-2.17%	0.22%	0.09%	-2.26%	-1.84
07-Jul-2025	-57	843.95	25,461.30	63,59,412	-0.18%	0.00%	-0.11%	-0.07%	-0.05
08-Jul-2025	-56	849.45	25,522.50	43,82,939	0.65%	0.24%	0.11%	0.54%	0.44
09-Jul-2025	-55	840.60	25,476.10	46,97,728	-1.05%	-0.18%	-0.28%	-0.77%	-0.63
10-Jul-2025	-54	846.20	25,355.25	26,67,081	0.66%	-0.48%	-0.55%	1.21%	0.99
11-Jul-2025	-53	845.65	25,149.85	30,18,242	-0.07%	-0.81%	-0.86%	0.79%	0.65
14-Jul-2025	-52	843.65	25,082.30	31,47,513	-0.24%	-0.27%	-0.36%	0.12%	0.10
15-Jul-2025	-51	841.25	25,195.80	16,76,069	-0.28%	0.45%	0.30%	-0.59%	-0.48
16-Jul-2025	-50	814.85	25,212.05	84,64,656	-3.19%	0.06%	-0.05%	-3.13%	-2.56
17-Jul-2025	-49	804.80	25,111.45	24,09,799	-1.24%	-0.40%	-0.48%	-0.76%	-0.62
18-Jul-2025	-48	798.80	24,968.40	20,75,210	-0.75%	-0.57%	-0.64%	-0.11%	-0.09
21-Jul-2025	-47	796.45	25,090.70	13,68,863	-0.29%	0.49%	0.33%	-0.63%	-0.51
22-Jul-2025	-46	800.15	25,060.90	20,01,387	0.46%	-0.12%	-0.22%	0.68%	0.56
23-Jul-2025	-45	800.30	25,219.90	11,67,072	0.02%	0.63%	0.47%	-0.45%	-0.36
24-Jul-2025	-44	784.20	25,062.10	19,00,860	-2.03%	-0.63%	-0.69%	-1.35%	-1.10
25-Jul-2025	-43	760.75	24,837.00	32,14,030	-3.04%	-0.90%	-0.94%	-2.10%	-1.71
28-Jul-2025	-42	750.60	24,680.90	24,01,070	-1.34%	-0.63%	-0.69%	-0.65%	-0.53
29-Jul-2025	-41	745.00	24,821.10	16,90,328	-0.75%	0.57%	0.41%	-1.15%	-0.94
30-Jul-2025	-40	768.35	24,855.05	66,23,128	3.09%	0.14%	0.01%	3.07%	2.51
31-Jul-2025	-39	758.55	24,768.35	30,12,795	-1.28%	-0.35%	-0.43%	-0.85%	-0.70
01-Aug-2025	-38	748.35	24,565.35	9,23,642	-1.35%	-0.82%	-0.87%	-0.49%	-0.40
04-Aug-2025	-37	741.70	24,722.75	22,61,444	-0.89%	0.64%	0.47%	-1.36%	-1.11
05-Aug-2025	-36	739.10	24,649.55	18,05,249	-0.35%	-0.30%	-0.38%	0.03%	0.03
06-Aug-2025	-35	737.95	24,574.20	12,99,370	-0.16%	-0.31%	-0.39%	0.24%	0.19
07-Aug-2025	-34	751.65	24,596.15	11,70,816	1.84%	0.09%	-0.03%	1.87%	1.53
08-Aug-2025	-33	751.35	24,363.30	13,14,363	-0.04%	-0.95%	-0.98%	0.94%	0.77

MARKET MODEL (estimation window: day −59 to −11)

Beta (β)	0.91	SLOPE(stock returns, market return
Alpha (α)	-0.00113	INTERCEPT(stock returns, market
Standard Error	1.2249%	STEYX(stock returns, market return
SD of Abnormal Returns (est. window)	1.2121%	STDEV(abnormal returns, est. windo

Cell M15: CAR means Cummulative Abnormal Returns

Treat all t-stats here as indicative, not conclusive

t-stat of CAR = CAR ÷ (SD × √(days in window))

CAR ACROSS DIFFERENT EVENT WINDOWS

Window (± days)	CAR	Days in window	t-stat of CAR	|t| > 1.96?
±1	-1.36%	3	-0.65	no
±3	0.75%	7	0.23	no
±5	-3.33%	11	-0.83	no
±10	-4.02%	21	-0.72	no

The CAR
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CHART DATA: Event-Window AR & Cumulative AR

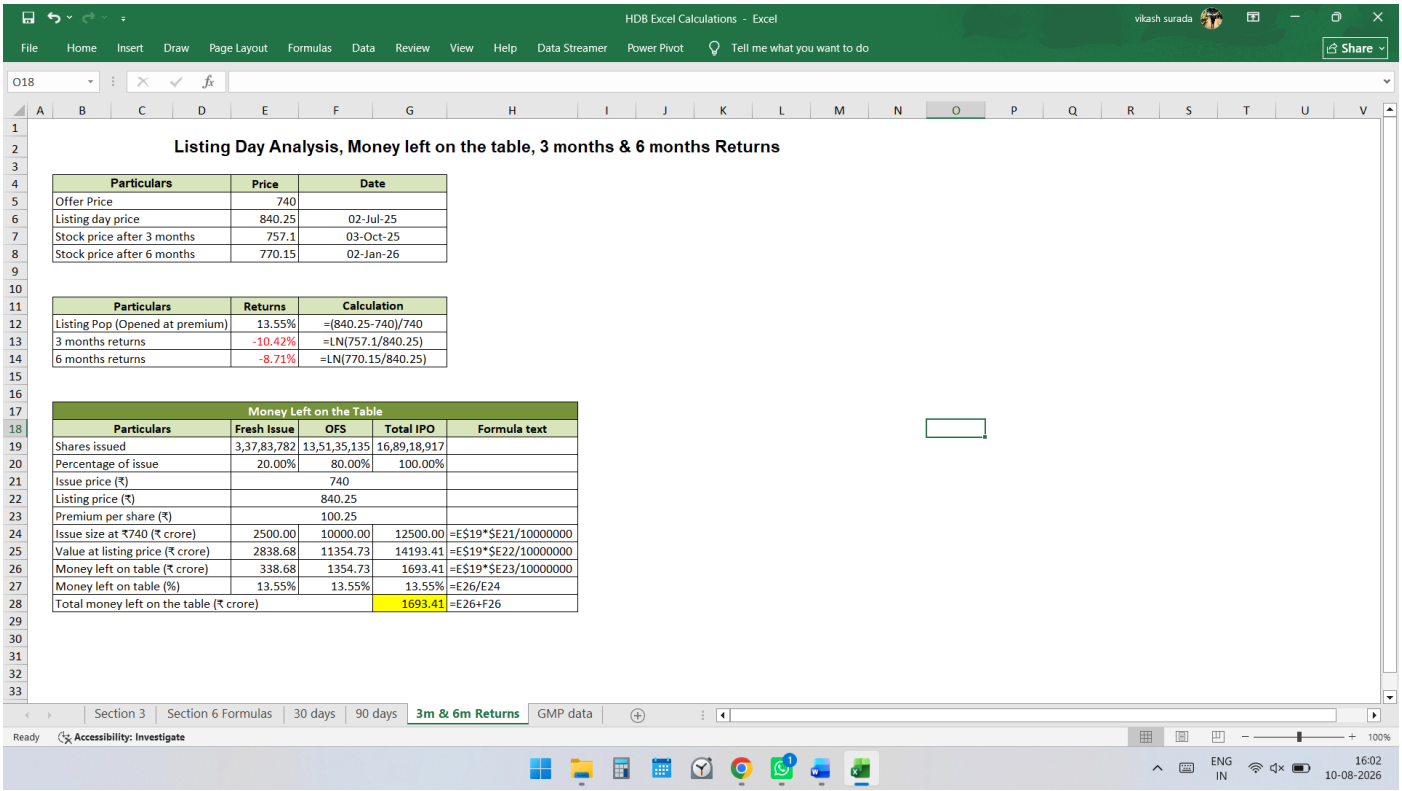
Day	AR	Cumulative AR
-10	-1.17%	-1.17%
-9	1.77%	0.60%
-8	0.25%	0.85%
-7	-0.89%	-0.04%
-6	0.21%	0.17%
-5	-0.40%	-0.24%
-4	0.04%	-0.20%
-3	-0.49%	-0.69%
-2	0.30%	-0.38%
-1	-0.03%	-0.41%

Section 3 | Section 6 Formulas | 30 days | 90 days | 3m & 6m Returns | GMP data

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4. Other calculations of section 6



Listing Day Analysis, Money left on the table, 3 months & 6 months Returns

Particulars	Price	Date
Offer Price	740	
Listing day price	840.25	02-Jul-25
Stock price after 3 months	757.1	03-Oct-25
Stock price after 6 months	770.15	02-Jan-26

Particulars	Returns	Calculation
Listing Pop (Opened at premium)	13.55%	=(840.25-740)/740
3 months returns	-10.42%	=LN(757.1/840.25)
6 months returns	-8.71%	=LN(770.15/840.25)

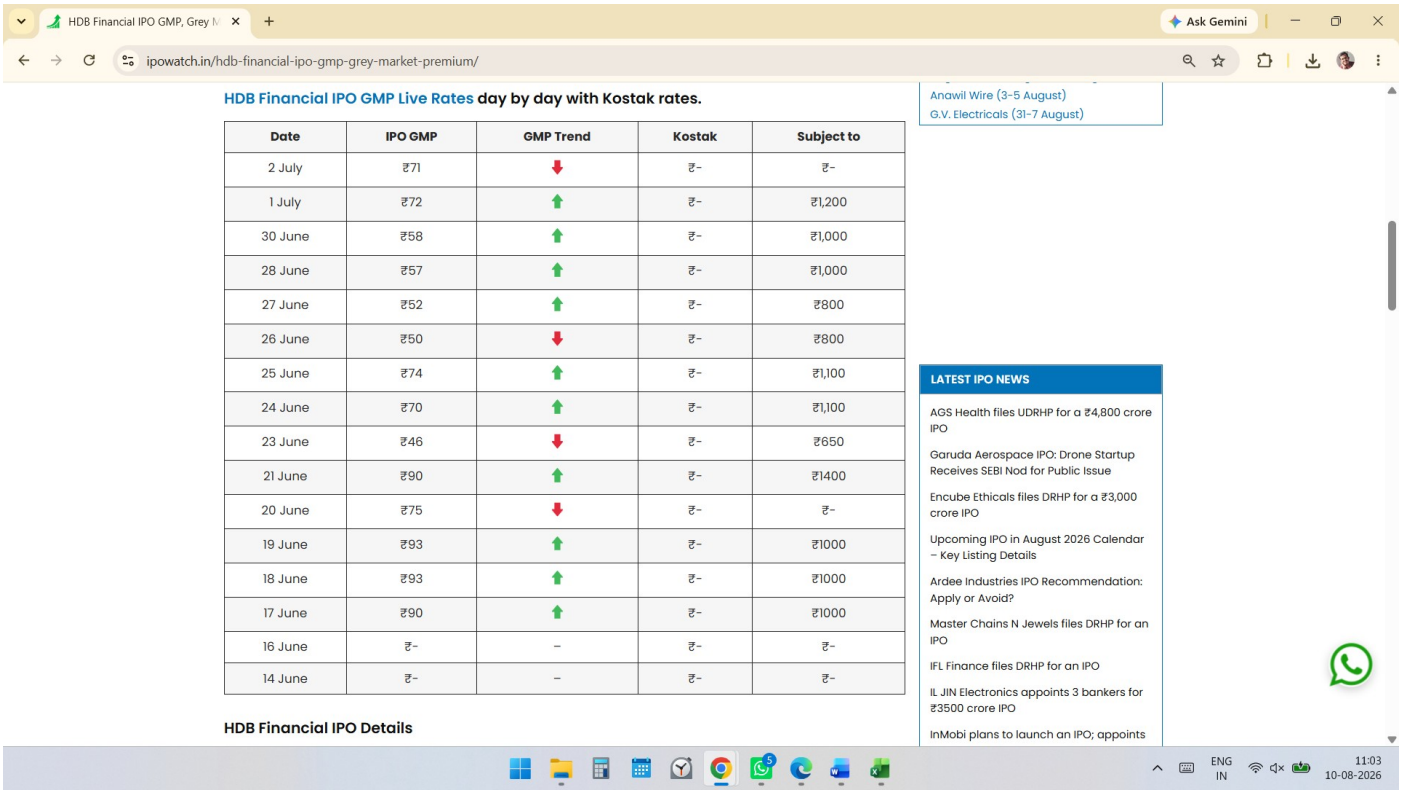
Money Left on the Table				
Particulars	Fresh Issue	OFS	Total IPO	Formula text
Shares issued	3,37,83,782	13,51,35,135	16,89,18,917	
Percentage of issue	20.00%	80.00%	100.00%	
Issue price (₹)	740			
Listing price (₹)	840.25			
Premium per share (₹)	100.25			
Issue size at ₹740 (₹ crore)	2500.00	10000.00	12500.00	=E$19*$E21/10000000
Value at listing price (₹ crore)	2838.68	11354.73	14193.41	=E$19*$E22/10000000
Money left on table (₹ crore)	338.68	1354.73	1693.41	=E$19*$E23/10000000
Money left on table (%)	13.55%	13.55%	13.55%	=E26/E24
Total money left on the table (₹ crore)			1693.41	=E26+F26

Section 3 | Section 6 Formulas | 30 days | 90 days | 3m & 6m Returns | GMP data

Ready | Accessibility: Investigate | 100%

ENG IN 16:02 10-08-2026

5. IPOwatch GMP Data



HDB Financial IPO GMP, Grey M

ipowatch.in/hdb-financial-ipo-gmp-grey-market-premium/

Ask Gemini

HDB Financial IPO GMP Live Rates day by day with Kostak rates.

Date	IPO GMP	GMP Trend	Kostak	Subject to
2 July	₹71	↓	₹-	₹-
1 July	₹72	↑	₹-	₹1,200
30 June	₹58	↑	₹-	₹1,000
28 June	₹57	↑	₹-	₹1,000
27 June	₹52	↑	₹-	₹800
26 June	₹50	↓	₹-	₹800
25 June	₹74	↑	₹-	₹1,100
24 June	₹70	↑	₹-	₹1,100
23 June	₹46	↓	₹-	₹650
21 June	₹90	↑	₹-	₹1400
20 June	₹75	↓	₹-	₹-
19 June	₹93	↑	₹-	₹1000
18 June	₹93	↑	₹-	₹1000
17 June	₹90	↑	₹-	₹1000
16 June	₹-	-	₹-	₹-
14 June	₹-	-	₹-	₹-

HDB Financial IPO Details

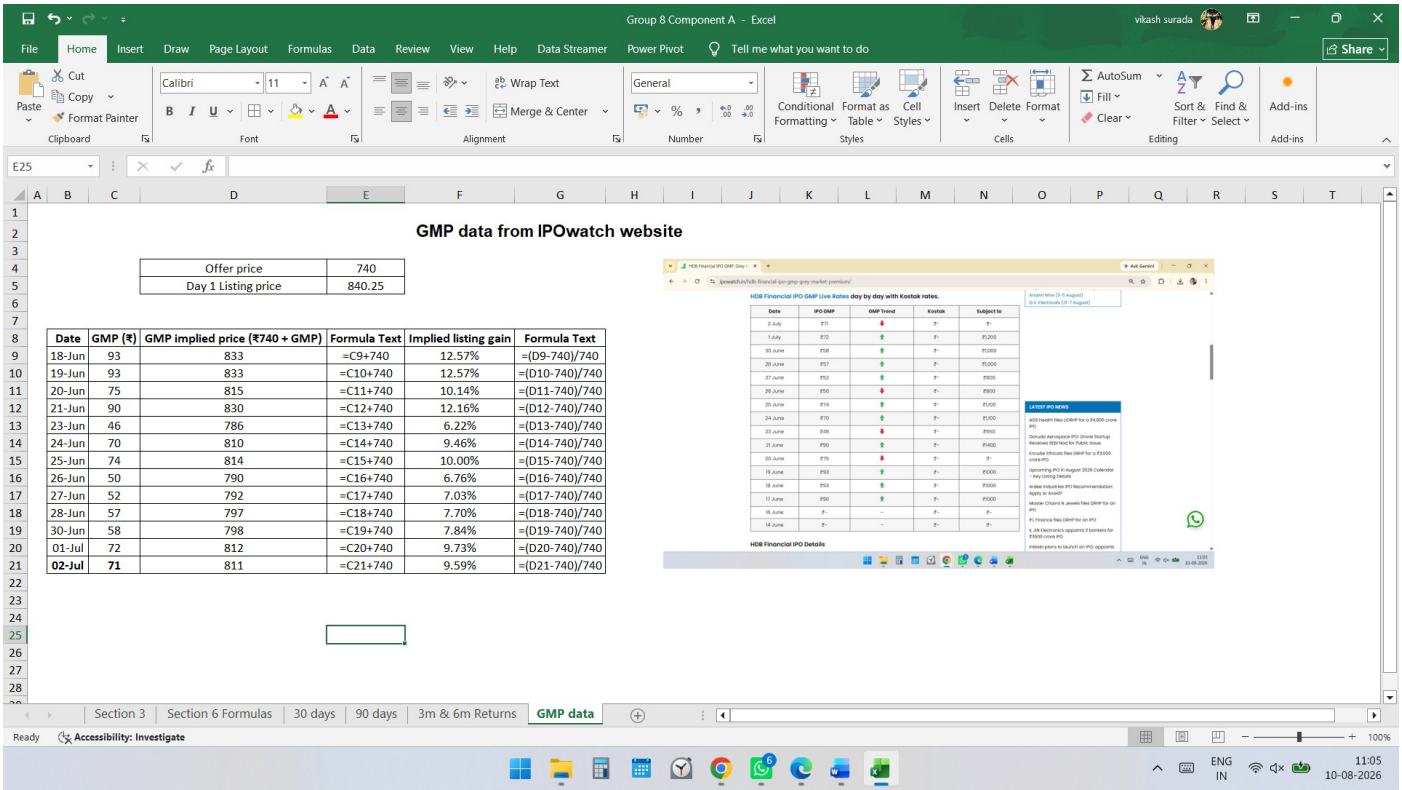
Anawil Wire (3-5 August)
G.V. Electricals (31-7 August)

LATEST IPO NEWS

- AGS Health files UDRHP for a ₹4,800 crore IPO
- Garuda Aerospace IPO: Drone Startup Receives SEBI Nod for Public Issue
- Encube Ethicals files DRHP for a ₹3,000 crore IPO
- Upcoming IPO in August 2026 Calendar – Key Listing Details
- Ardee Industries IPO Recommendation: Apply or Avoid?
- Master Chains N Jewels files DRHP for an IPO
- IFL Finance files DRHP for an IPO
- IL JIN Electronics appoints 3 bankers for ₹3500 crore IPO
- InMobi plans to launch an IPO; appoints

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6. GMP Data Excel



Group 8 Component A - Excel — vikash surada

GMP data from IPOwatch website

Offer price	740
Day 1 Listing price	840.25

Date	GMP (₹)	GMP implied price (₹740 + GMP)	Formula Text	Implied listing gain	Formula Text
18-Jun	93	833	=C9+740	12.57%	=(D9-740)/740
19-Jun	93	833	=C10+740	12.57%	=(D10-740)/740
20-Jun	75	815	=C11+740	10.14%	=(D11-740)/740
21-Jun	90	830	=C12+740	12.16%	=(D12-740)/740
23-Jun	46	786	=C13+740	6.22%	=(D13-740)/740
24-Jun	70	810	=C14+740	9.46%	=(D14-740)/740
25-Jun	74	814	=C15+740	10.00%	=(D15-740)/740
26-Jun	50	790	=C16+740	6.76%	=(D16-740)/740
27-Jun	52	792	=C17+740	7.03%	=(D17-740)/740
28-Jun	57	797	=C18+740	7.70%	=(D18-740)/740
30-Jun	58	798	=C19+740	7.84%	=(D19-740)/740
01-Jul	72	812	=C20+740	9.73%	=(D20-740)/740
02-Jul	**71**	811	=C21+740	9.59%	=(D21-740)/740

Section 3 | Section 6 Formulas | 30 days | 90 days | 3m & 6m Returns | GMP data

Ready — Accessibility: Investigate

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